HEIRSTONE CONSULTING

HOTEL DEVELOPMENT IN AFRICA

Hotels on paper

Africa's chain hotel pipeline has never been larger, yet the rooms opened each year fell by more than half between 2017 and 2023. This report explains why signing and building have parted company and sets out a test for telling a hotel that will open from one that will not.



THE REPORT IN SIX NUMBERS

123,846 rooms in 675 hotels in the chains' African development pipeline in early 2026, a record and 19% more than a year earlier

3,458 rooms opened by the chains across Africa in 2023, against 8,053 in 2017

38% of the 986 pipeline hotels scheduled to open between 2014 and 2023 that opened in their scheduled year

17-26 years to open the 2026 pipeline at the average rates at which rooms opened in 2016-2023 and in 2020-2023

US$186-205 of RevPAR a night that an average pipeline key would need, in our illustration, to pay interest alone at 22-24%; Southern Sun earned about US$56

0 chain hotels in the survey opening lists for 2022 and 2023 in Nigeria, Côte d'Ivoire, Ghana and Uganda, which held 13,123 pipeline rooms in 2023

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ABOUT THIS REPORT

Heirstone Consulting advises developers, investors, lenders and public bodies across the Middle East and Africa on hotels, destinations and specialised real estate. This report uses public sources current in 2026: the annual W Hospitality Group surveys of hotel chain development pipelines in Africa, hotel company releases and accounts, IFC project disclosures, IATI records of development finance, central bank, US Treasury and World Bank data, and national tourism statistics.

Where we combine published figures into a new measure, such as a country's delivery ratio or the RevPAR needed to cover interest on a key, the calculation is labelled Heirstone analysis and its inputs are shown. Local-currency figures carry their US dollar equivalent and the date of the exchange rate used.

WHAT WE FOUND

Africa's hotel pipeline keeps growing while openings shrink. In our analysis, the cost of capital explains the gap better than demand does.

The chain pipeline is a register of signed agreements, and in most African markets it has stopped working as a forecast of rooms. Most of the hotels that do open are resorts and conversions, or belong to owners who hold the equity and borrow in the currency the hotel earns.

1 **Signing and opening have moved in opposite directions.**

W Hospitality Group counted a record 123,846 pipeline rooms in early 2026, 70% more than in 2017. Rooms opened fell from 8,053 in 2017 to 3,458 in 2023, the latest year published. Of 986 hotels scheduled for 2014 to 2023, 379 opened on time. At the 2016-2023 opening rate the 2026 pipeline would take 17 years to open; at the pandemic-affected 2020-2023 rate, 26.

2 **Reported construction is a weak signal.**

Every survey from 2018 to 2024 put 52 to 57% of pipeline rooms on site. Yet seven of 13 Lagos hotels listed as under construction were closed sites in early 2024, and Ghana, 82.6% on site in 2023, opened no chain hotel in 2022 or 2023.

3 **The pipeline sits in big cities; the openings are at resorts.**

Leisure destinations took 58% of the 8,256 chain rooms opened in 2022 and 2023. The six largest sub-Saharan city pipelines, with 17,887 rooms, delivered 361. Egypt holds 28% of Africa's pipeline, the largest share, and opened a fifth of new chain rooms, after Morocco.

4 **Local-currency debt is too dear for most new keys.**

IFC-financed new builds cost a median of about US$240,000 per key. In our illustration, a key at the 2019 pipeline average of US$308,700 would need US$186 to 205 of RevPAR a night to pay interest alone at 22 to 24%, over three times Southern Sun's US$56. Of twelve countries measured, every one that delivered a fifth or more of its pipeline in 2022-2023 had a dollar-priced key costing under twice as much local currency as in 2015.

5 **Buying and converting is the faster route.**

Acquire-and-upgrade deals in IFC disclosures cost US$100,000 to 150,000 per key, 40 to 60% of the new-build median, and conversions can open in the year they are signed. IATI records about US$964m of hotel commitments by four development lenders since 1997, a partial count equal to about 4% of the 2019 pipeline's cost; 65% of IFC's commitments since 2020 went to existing hotels.

WHAT IT MEANS

Tourism authorities and investment agencies should plan capacity on rooms that are funded and verified on site, and count conversions towards room targets.

Owners should sign a flag once equity, site and matched debt are in place, and price an existing hotel before a new one.

Lenders and DFIs should treat a signed agreement as an option and lend against verified progress, long tenors and matched currency.

Operators should report how many signed hotels open, alongside how many they sign.

21%

of the 136 pipeline hotels scheduled for 2023 opened that year, the lowest in the series

43

countries in the Heirstone Pipeline Reality Benchmark, which sets each pipeline against what it delivered

CHAPTER 1



01

A count of signatures

A hotel enters the pipeline when an owner signs a management or franchise agreement with a chain. It leaves when the hotel opens or the agreement is cancelled. This report is about the years in between.

W Hospitality Group has surveyed the hotel chains' African development pipelines every year since 2009. The first survey found 19 chains with 144 hotels and almost 30,000 rooms. The 2026 edition counted 53 chains with 675 hotels and 123,846 rooms, up 19% in a year, with North Africa up 27% and sub-Saharan Africa up 11%. It is the longest-running public record of branded hotel development on the continent that we know of, and its headline travels each year through the trade press, investment forums and the chains' own releases.

The same surveys carry a second series that is quoted far less often: what opened. In 2017 the chains opened 51 hotels with 8,053 rooms. In 2023 they opened 29 hotels with 3,458 rooms, equal to 6% of that year's pipeline by hotels and 4% by rooms.

The record has two exceptional years. In 2019 the chains opened about 15,000 rooms in 91 hotels, and 68 of the 91 hotels scheduled for that year opened on time. In 2020, 25 hotels with 4,098 rooms opened against 90 hotels and 17,000 rooms expected. Openings recovered only partly in 2021, to 6,268 rooms, and fell in 2022 and 2023, while signing carried on: 71 deals with 10,000 rooms were signed between the 2020 and 2021 surveys alone.

A pipeline entry records that an owner and a chain have agreed terms. It does not record whether the owner holds the land, the permits, the equity or the debt. As a supply forecast, the headline overstates what will open by a wide margin. As a stock of options it is useful, because the conditions that turn an option into a hotel can be observed.

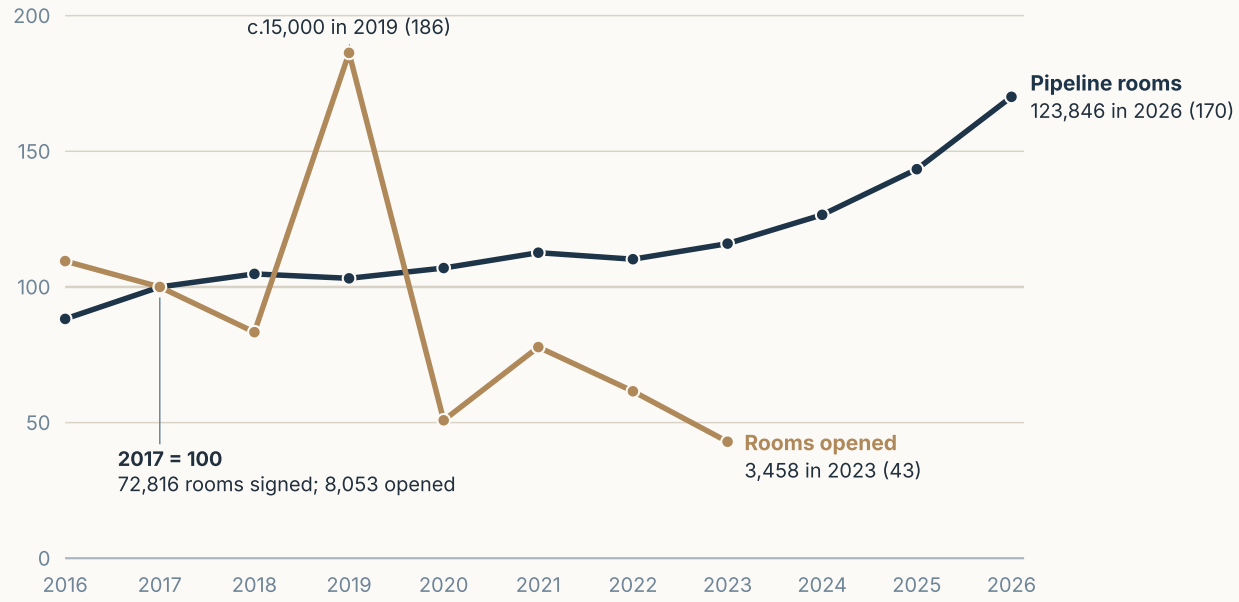
SIGNING AND OPENING

The pipeline grew by 70% between the 2017 and 2026 surveys. Rooms opened fell by 57% from 2017 to 2023.

EXHIBIT 1

Signing and opening have moved apart since 2017

Chain hotel pipeline rooms in Africa (survey in early each year) and rooms opened by the chains in each calendar year; index, 2017 = 100



Source: W Hospitality Group, Hotel Chain Development Pipelines in Africa, reports for 2017 to 2024 and report pages for 2025 and 2026. Pipeline as first published in each edition. Rooms opened are all openings tracked for contributing chains (2019: "almost 15,000"). Openings for 2024 and 2025 not available. **Heirstone analysis** (index).

The pipeline flattened at 75,000 to 82,000 rooms between the 2018 and 2022 surveys as the chains removed old deals, then rose by 54% in four surveys to 123,846 rooms in 2026. Openings went the other way after the 2019 peak. They averaged about 4,700 rooms a year from 2020 to 2023, against about 7,200 a year over 2016 to 2023.

Dividing the pipeline by the opening rate gives a simple reading of the headline. At the 2016-2023 average, the 2026 pipeline would take about 17 years to open; at the 2020-2023 average, about 26 years. W Hospitality cites four to five years from signing to opening. A pipeline that would take 17 to 26 years to clear is likely to hold many hotels that will open late or not at all.

The chains also delete deals, in large numbers. W Hospitality estimated that 74 projects with more than 12,000 rooms, 18.5% of pipeline projects, were removed between early 2018 and the 2019 survey. Accor's African pipeline fell by 16.2% in the 2023 survey and by a further 23.5% in 2024 after it cleared older Swissôtel and Novotel deals, mostly in North Africa. Each clean-out shows that earlier headlines included deals that did not proceed under that brand.

4-5 years

typical time from signing to opening cited by W Hospitality (2024)

74

projects with more than 12,000 rooms removed from the pipeline between early 2018 and the 2019 survey

> *Even at the 2016-2023 average of about 7,200 rooms a year, the 2026 pipeline would take 17 years to open.*

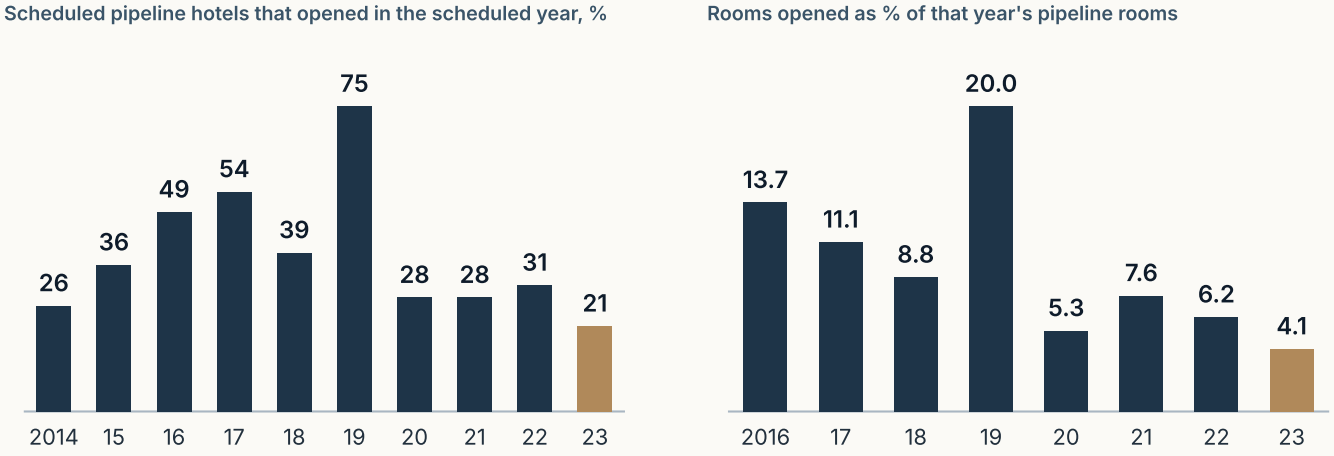
SCHEDULED AND OPENED

Six in ten hotels scheduled for the coming year miss it, and in 2023 four in five did

EXHIBIT 2

Fewer than four in ten scheduled hotels open on time, and openings have fallen to about 4% of pipeline rooms

Left: W Hospitality actualisation rate, 2014-2023. Right: rooms opened in the year divided by pipeline rooms in that year's survey, 2016-2023



Source: W Hospitality Group, 2017, 2020, 2023 and 2024 reports (actualisation rates as published; 2014 from the 2017 report). The 36% for 2015 matches 27 of 75 hotels scheduled in the 2017 report; later reports restate 69 scheduled, which would give 39%. Right panel: **Heirstone analysis**; rooms opened include hotels that were not in the prior pipeline, so the ratios are upper bounds.

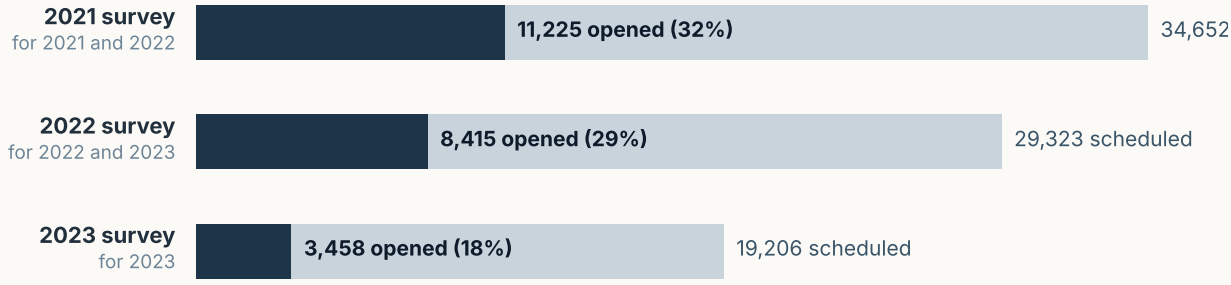
W Hospitality calls the share of scheduled hotels that open in their scheduled year the actualisation rate. From 2014 to 2023, 379 of 986 scheduled hotels opened on time, or 38%. Only 2019 passed 55%. In 2023, 29 of 136 opened, 21%, the lowest in the series. Over the six years to 2023, 639 hotels were scheduled and 228 opened. The room-based measure, which is less affected by small hotels, fell from 13.7% of pipeline rooms in 2016 to 4.1% in 2023.

Each survey also publishes the rooms the chains expect to open in the next two years. The 2021 survey expected 34,652 rooms in 2021 and 2022; 11,225 opened. The 2022 survey expected 29,323 in 2022 and 2023; 8,415 opened. Planning on the chains' schedules would have overstated new supply about three times over. The 2024 survey scheduled 46,570 rooms for 2024 and 2025. At the hit rate of the two earlier surveys, about 13,500 to 14,900 would open. We use this as an illustrative planning haircut, not a forecast; the full 2025 and 2026 reports were not available to us.

EXHIBIT 3

The 2021 and 2022 surveys' two-year schedules delivered about 30% of the rooms promised

Rooms the chains scheduled to open, by survey, against rooms opened in the same years



Source: W Hospitality Group, 2021 to 2024 reports. **Heirstone analysis.**

CHAPTER 2

02

Inside the pipeline

Whether a signed hotel opens depends on how long it has waited, on what is happening on its site, on its segment and on its flag. The surveys allow each to be measured.

35

hotels signed in 2014 or earlier, with almost 8,000 rooms, were still in the 2024 pipeline

31%

of pipeline projects were more than five years old in the 2021 survey

2008

signing year of the oldest deal, a Dakar hotel still classified as on site in 2022

AGE

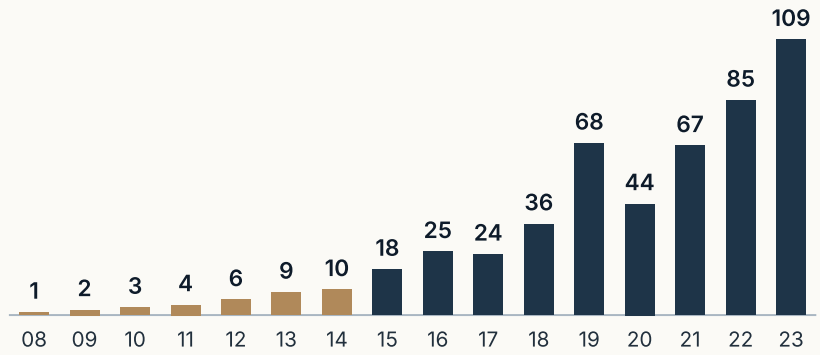
Almost one pipeline room in eleven was signed a decade or more ago

In the 2024 survey, 35 pipeline hotels had been signed in 2014 or earlier, with almost 8,000 rooms, about 8.7% of pipeline rooms. In 2021, 138 projects, 31% of the total, were more than five years old. In 2020, 53 deals with 9,900 rooms had no confirmed opening date, a category W Hospitality has said should be read as "we don't know".

EXHIBIT 4

Half the 2024 pipeline was signed in 2021 or later; the decade-old tail is still there

Pipeline hotels in the 2024 survey by year the agreement was signed (gold: 2014 or earlier)



Source: W Hospitality Group, Hotel Chain Development Pipelines in Africa 2024. A further six hotels were signed in early 2024 and seven have no signing year stated.

Between the 2023 and 2024 surveys, hotels signed in 2016 to 2018 fell by 19 to 23%, against 10 to 14% for those signed in 2020 to 2022, and the number signed from 2008 to 2022 fell from 472 to 402. With 29 openings in 2023, at least 41 deals, about 9% of that stock, left the pipeline without opening in a single year (Heirstone analysis).

Clean-outs fall unevenly. Nigeria's pipeline shrank by 17% between the 2018 and 2019 surveys, mainly because 11 deals with 2,100 rooms were removed; South Africa lost 19 hotels with almost 2,300 rooms in the same year. Libya had no new signings from 2018 and no pipeline deals at all by 2024.

Signing has not slowed. The 2024 survey held 109 hotels signed in 2023 alone, and 19 of the hotels signed that year, with about 5,200 rooms, were in Egypt. Between the 2020 and 2021 surveys, through the first year of the pandemic, the chains signed 71 deals with 10,000 rooms.

Opening dates are often set before construction starts. In the 2019 survey, 75% of rooms scheduled to open in 2020 were on site, against 40% of those scheduled for 2021, 19% for 2022 and 14% for 2023. A hotel with an opening date three years away and no site is already behind a four-to-five-year build.

CONSTRUCTION, SEGMENT AND FLAG

Lagos had seven closed sites among 13 hotels reported as under construction

Every survey from 2018 to 2024 reported 52 to 57% of pipeline rooms as on site. The share barely moves while openings have halved, which suggests that many reported sites are not progressing. W Hospitality itself warns that a start on site does not mean a hotel will open, and its audits show why. In early 2024, of 13 Lagos hotels reported as under construction, seven sites were closed, three were moving slowly and three were moving ahead. In Nigeria in 2022, eight of 15 hotels on site, with half the rooms, had stalled. In 2020, seven of the oldest eight deals in the pipeline were reported as under construction.

Some sites are on site only in name for years. The 2018 survey found almost 1,800 rooms already under construction but scheduled for 2024 or later; the 2021 survey found more than 4,000 scheduled for 2026 or later.

The pipeline is also concentrated in the segments that cost most to build. Upscale and upper-upscale hotels made up 68.5% of pipeline rooms in 2024 and luxury hotels another 16.1%. Midscale and economy hotels together were 3.3%. Management agreements covered 81% of deals and franchises 15%, up from 7% in 2021.

Progress also differs sharply by brand and chain. In 2023 none of the rooms in Rixos's five pipeline hotels or Swissôtel's seven were on site, and 4.1% of Fairmont's ten. Radisson's were 93.5% on site and Protea's 70%. At chain level in 2022, 26.2% of Accor's pipeline rooms were on site against 56.8% of Marriott's, 57.5% of Hilton's and 85.2% of Radisson's.

7 of 13

Lagos hotels reported as under construction were closed sites in early 2024

84.6%

of pipeline rooms in 2024 were upscale, upper-upscale or luxury

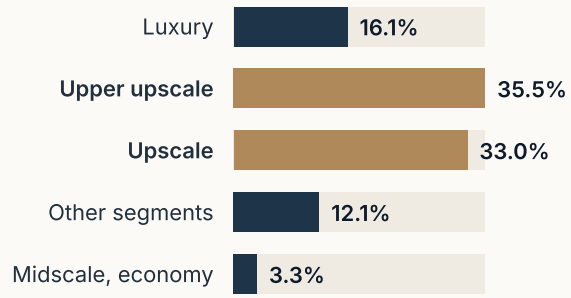
133

rooms in the average franchised pipeline hotel, against 183 for a managed one (2023)

EXHIBIT 5

The pipeline is built for the top of the market

Share of pipeline rooms by segment, 2024 survey

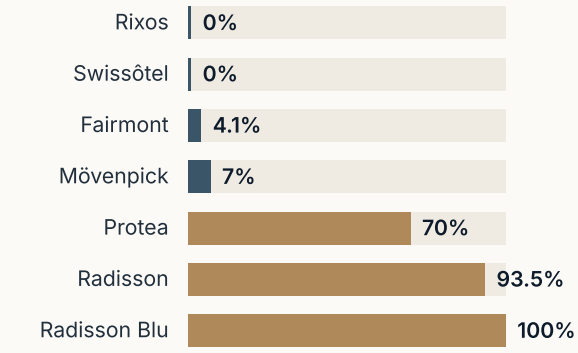


Source: W Hospitality Group, 2024 report. "Other segments" is the residual, mainly upper midscale (**Heirstone analysis**).

EXHIBIT 6

Some flags were barely on site; others almost entirely

Share of each brand's African pipeline rooms on site; 2023 survey, Mövenpick and Radisson Blu 2022



Source: W Hospitality Group, 2022 and 2023 reports.

THE LIFE OF A SIGNED HOTEL

Signed hotels can stop at three points on the way to opening

EXHIBIT 7

Where a signed hotel can stop

States of a chain pipeline hotel between signing and opening, with the latest published size or example of each



Source: W Hospitality Group, 2019, 2022, 2023 and 2024 reports; CTBUH Skyscraper Center and Marriott (JW Marriott Nairobi). **Heirstone analysis.**

Exhibit 7 sets out the states a signed hotel passes through. In 2024, 46% of pipeline rooms, 42,892, had no site activity at all. They leave the pipeline mostly by cancellation, from the 74 projects de-branded in 2018-19 to the 41 or more deals that left in 2023 without opening.

The 54% reported on site is a mix of active sites and dormant ones. The Lagos audit and the stranded shells from Dakar to Algiers show that a reported site needs checking before it is counted. Labour on site and drawdowns on a construction loan can be checked directly; the survey's on-site flag is the chain's own classification.

A finished structure is a further state that the surveys do not track. CTBUH lists the JW Marriott tower at Nairobi's Global Trade Centre, with 317 hotel rooms, as started in 2016 and completed in 2021. The hotel is absent from the survey opening lists for 2022 and 2023 and was trading by 2026; we found no published opening date. Public sources do not give a reason for the interval.

The fastest route skips the middle states altogether. A conversion puts a flag on a hotel that already exists. Radisson opened four Moroccan hotels in 2021 and one Tunisian hotel in 2022 in the year each was signed.

46%

of pipeline rooms had no site activity in 2024

15 years

for which some half-built hotel structures have stood, according to W Hospitality (2023)

5

Radisson hotels in Morocco and Tunisia opened in the year they were signed (2021-2022)

CHAPTER 3

03 The Heirstone Pipeline Reality Benchmark

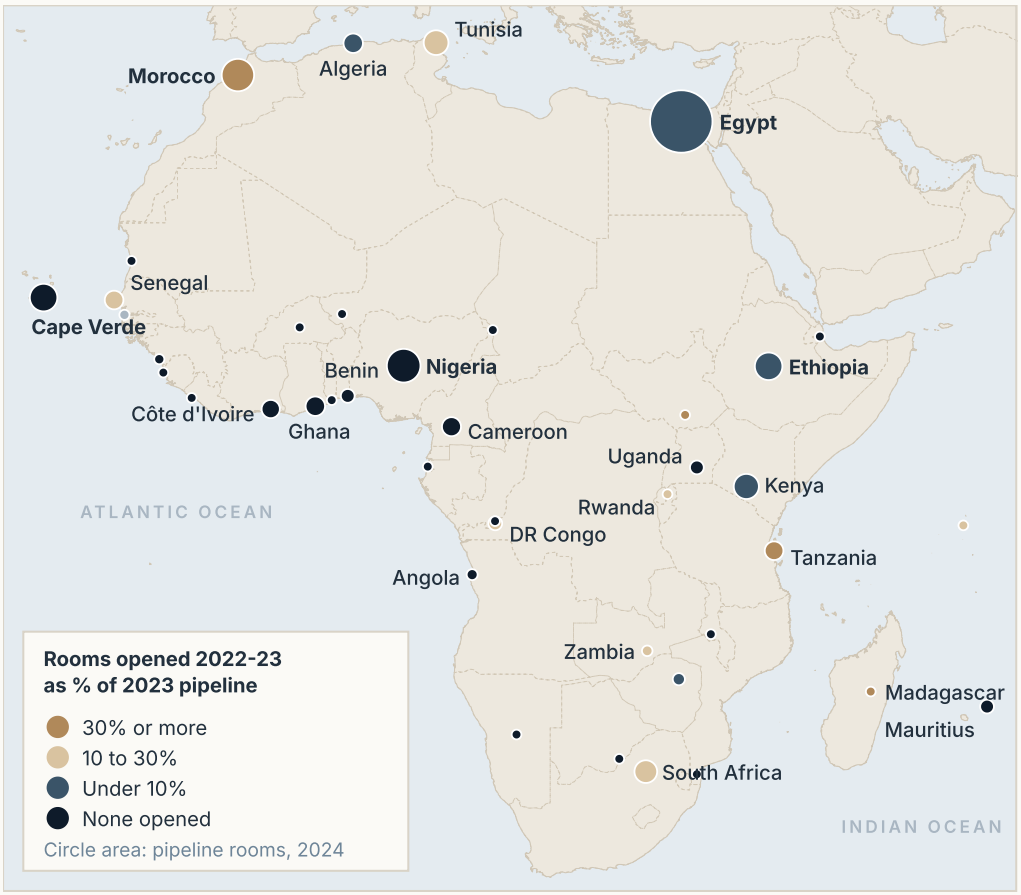
The benchmark sets each country's chain pipeline against what it has delivered. It combines W Hospitality's country appendices for 2023 and 2024 with our register of the 58 chain hotels and 8,256 rooms that the surveys list as opened in 2022 and 2023, after removing two double listings, together with US Treasury exchange rates and World Bank lending rates.

Three derived measures carry the analysis. The **delivery ratio** is rooms opened in 2022 and 2023 as a share of the 2023 pipeline. **Years to clear** divides the 2024 pipeline by the rooms opened a year in 2022-2023. The **currency multiple** is how many times more local currency a dollar-priced key cost in September 2026 than at the end of 2015.

EXHIBIT 8

Most of Africa's largest pipelines delivered little in 2022 and 2023

Chain pipeline rooms by country, 2024 survey (circle area), and rooms opened in 2022-2023 as a share of the 2023 pipeline (colour)



Source: Heirstone Pipeline Reality Benchmark 2026, from W Hospitality Group 2023 and 2024 reports (Appendices 2 and 4). Circles placed at the capital or main commercial city; positions approximate. Small pipelines not labelled.

13,123

pipeline rooms in Nigeria, Côte d'Ivoire, Ghana and Uganda in 2023; none of them had a chain opening in the 2022 or 2023 survey lists

55%

Tanzania's delivery ratio, the highest of any country with more than 1,000 pipeline rooms

7 of 10

largest pipelines in 2024 delivered less than 10% of their rooms in 2022-2023

62%

of rooms opened in 2022-2023 were in four countries: Morocco, Egypt, Tanzania and Tunisia

THE BENCHMARK

Pipeline, progress and delivery, country by country

EXHIBIT 9

Heirstone Pipeline Reality Benchmark 2026

Chain pipeline (2023 and 2024 surveys), chain rooms opened in 2022-2023 and the cost of money, 43 African countries

COUNTRY	LANG.	HOTELS 2024	ROOMS 2024	ON SITE 2024 %	ROOMS NOT ON SITE	ROOMS 2023	OPENED 2022-23	DELIVERY RATIO %	YEARS TO CLEAR	CURRENCY MULTIPLE	LENDING RATE %
NORTH AFRICA											
Egypt	AR	109	26,241	36.1	16,768	24,944	1,918*	7.7*	27*	6.63	24.3
Morocco	AR/FR	52	7,169	65.0	2,509	6,369	2,001	31.4	7	0.98	
Tunisia	AR/FR	18	4,121	82.2	734	2,132	618	29.0	13		
Algeria	AR/FR	13	2,603	81.5	482	2,862	152	5.3	34		
Mauritania	AR/FR	2	354	56.5	154	354	0	0.0	none		
Libya	AR					370	0	0.0			
WEST AFRICA											
Nigeria	EN	50	7,622	47.8	3,979	6,772	0	0.0	none	6.67	14.0*
Cape Verde	PT	16	5,056	46.7	2,695	3,660	0	0.0	none		
Ghana	EN	19	2,568	67.4	837	2,181	0	0.0	none	3.06	
Senegal	FR	15	2,336	57.8	986	2,650	724	27.3	6	0.95	
Côte d'Ivoire	FR	14	2,282	25.9	1,691	2,445	0	0.0	none	0.95	
Benin	FR	7	1,260	47.4	663	1,091	0	0.0	none	0.95	
The Gambia	EN	3	686	87.8	84		0		none		
Guinea	FR	4	669	70.1	200	669	0	0.0	none		
Sierra Leone	EN	2	306	100.0	0	306	0	0.0	none		
Liberia	EN	2	299	35.8	192	299	0	0.0	none		
CENTRAL AFRICA											
Cameroon	FR/EN	14	2,476	41.7	1,444	2,407	0	0.0	none		
DR Congo	FR	10	1,313	43.9	737	1,605	293	18.3	9		
Congo	FR	2	321	100.0	0	321	0	0.0	none		
EAST AFRICA AND HORN											
Ethiopia	AM/EN	31	5,128	93.4	338	6,129	89	1.5	115	7.68	
Kenya	EN/SW	31	4,268	63.8	1,545	3,729	307	8.2	28	1.27	16.6
Tanzania	EN/SW	21	2,353	44.9	1,297	1,550	856	55.2	5	1.23	
Uganda	EN	8	1,304	84.3	205	1,725	0	0.0	none		
Djibouti	FR/AR	5	519	67.6	168	683	0	0.0	none		
Rwanda	EN/FR	4	474	16.9	394	719	154	21.4	6	1.95	16.0
South Sudan	EN	3	379	38.0	235	319	168	52.7	5		
SOUTHERN AFRICA											
South Africa	EN	22	3,427	58.9	1,408	2,768	557	20.1	12	1.05	11.6
Zimbabwe	EN	6	965	32.3	653	353	18	5.1	107		
Angola	PT	5	825	10.8	736	245	0	0.0	none	6.30	19.4
Zambia	EN	8	725	59.0	297	956	275	28.8	5		
Mozambique	PT	6	617	18.3	504	564	0	0.0	none		
Botswana	EN	3	352	100.0	0	315	0	0.0	none		
Malawi	EN	2	324	100.0	0	324	0	0.0	none		
INDIAN OCEAN											
Mauritius	EN/FR	6	1,290	77.7	288	846	0	0.0	none		
Seychelles	EN/FR	4	417	54.9	188	449	84	18.7	10		
Madagascar	MG/FR	1	210	0.0	210	210	294	140.0	1		
7 other countries		6	934	70.8	273	1,106	0	0.0	none		
Africa		**524**	**92,193**	**53.5**	**42,892**	**84,427**	**8,256**	**9.8**	**22**		

Source: Heirstone Pipeline Reality Benchmark 2026. W Hospitality Group 2023 and 2024 reports (Appendices 2 and 4; two double listings removed). Currency multiple: US Treasury reporting rates, local currency per US$ at 30 Sep 2026 over 31 Dec 2015 (CFA franc for Senegal, Côte d'Ivoire and Benin; XAF countries share the same euro peg). Lending rate: World Bank FR.INR.LEND, 2024 (*Nigeria 2023). Delivery ratio = rooms opened 2022-23 / rooms 2023; years to clear = rooms 2024 / half of rooms opened 2022-23. **Heirstone analysis.** Other countries: Burkina Faso, Chad, Niger, Gabon, Togo, Namibia, Sudan. Openings as listed by the survey (Hilton gives 332 rooms for the Hilton Skanes Monastir, listed at 340; Mandarin Oriental Marrakech, listed in 2023, first opened in 2015). *Egypt including the Waldorf Astoria Cairo Heliopolis (252 rooms, August 2023), absent from the survey list; survey list alone 1,666 rooms, 6.7% and 32 years. The Africa total follows the survey lists.

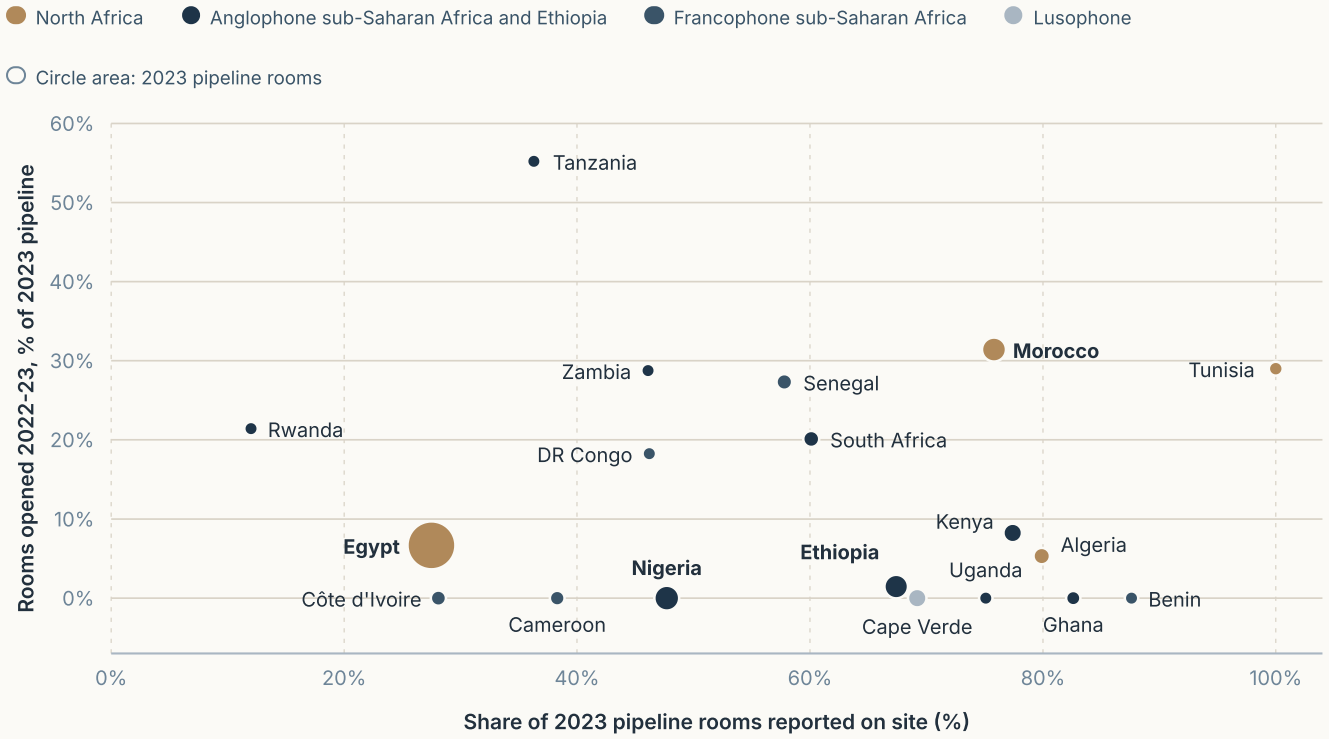
PROGRESS AND DELIVERY

Countries with most of their pipeline on site were no more likely to open hotels

EXHIBIT 10

A high share on site did not predict openings in 2022 and 2023

Countries with 700 or more pipeline rooms in 2023: share of pipeline rooms on site against rooms opened in 2022-2023 as a share of the 2023 pipeline



Source: Heirstone Pipeline Reality Benchmark 2026, from W Hospitality Group 2023 and 2024 reports. **Heirstone analysis.** Waldorf Astoria Cairo Heliopolis (252 rooms, August 2023) is missing from the survey list; including it lifts Egypt to 7.7%.

If "on site" meant "opening soon", the countries on the right of Exhibit 10 would sit high. They do not. Ghana (82.6% on site), Benin (87.6%), Uganda (75.1%) and Cape Verde (69.2%) opened no chain hotels in 2022 or 2023. Ethiopia had 67.4% on site and delivered 1.5%. Tanzania had 36.3% on site and delivered rooms equal to 55% of its pipeline, mostly at resorts in Zanzibar.

Two things help explain the scatter. Some hotels that open were never long in the pipeline: conversions and quick resort builds enter and leave between surveys. Madagascar opened 294 chain rooms in 2022 and 2023, more than its whole 2023 pipeline of 210. And many reported sites are inactive. A country's on-site share is the chains' report of their owners' progress, and it is not independently verified.

Size gives no protection either. Seven of the ten largest pipelines in 2024 delivered less than 10% of their rooms in 2022 and 2023. Egypt's ratio needs reading with volume: its 1,666 rooms opened, 1,918 with the Waldorf Astoria Cairo Heliopolis, were second only to Morocco's 2,001, against Africa's largest pipeline. At their 2022-2023 pace, Morocco's 2024 pipeline would take seven years to open, Senegal's six and Tanzania's five.

294

chain rooms opened in Madagascar in 2022-2023, against a 2023 pipeline of 210

5 years

to clear Tanzania's 2024 pipeline at its 2022-2023 pace, the fastest of any country with more than 1,000 pipeline rooms

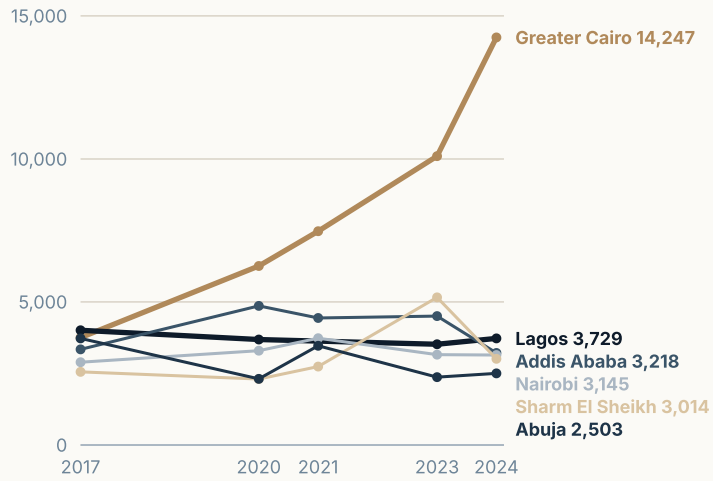
CITIES

Lagos has held about 3,500 to 4,000 pipeline rooms since 2017, while Greater Cairo's grew 3.8 times

EXHIBIT 11

City pipelines barely convert: six large sub-Saharan city pipelines with 17,887 rooms delivered 361

Left: chain pipeline rooms by city, surveys of 2017 to 2024 (Lagos not published for 2021). Right: 2023 pipeline rooms and rooms in chain openings in 2022-2023



CITY	PIPELINE 2023	OPENED 2022-23	%
Greater Cairo	10,100	430*	4.3*
Sharm El Sheikh	5,159	432	8.4
Addis Ababa	4,508	89	2.0
Lagos	3,525	0	0.0
Nairobi	3,161	272	8.6
Abuja	2,369	0	0.0
Abidjan	2,363	0	0.0
Algiers	2,271	152	6.7
Accra	1,961	0	0.0

Source: W Hospitality Group, city charts in the 2017, 2020, 2021, 2023 and 2024 reports, and Appendix 4 of the 2023 and 2024 reports. *Including Waldorf Astoria Cairo Heliopolis (252 rooms, Hilton, August 2023), absent from the survey list (survey list alone: 178 rooms, 1.8%). City definitions follow the source (Cairo to 2021, Greater Cairo from 2023). **Heirstone analysis.**

City pipelines show the difference between a stock and a flow. Lagos topped the city ranking in 2017 with 4,014 rooms. It had 3,690 in 2020, 3,525 in 2023 and 3,729 in 2024, and no chain hotel opened there in 2022 or 2023. A pipeline that holds its size while nothing opens consists of the same deals, or their replacements, still waiting. Abuja's moved between 2,310 and 3,726 rooms with the same result. The six largest sub-Saharan city pipelines in 2023, in Addis Ababa, Lagos, Nairobi, Abuja, Abidjan and Accra, held 17,887 rooms and delivered 361, or 2%.

Greater Cairo went the other way. Its pipeline rose from 3,751 rooms in 2017 to 14,247 in 2024, with 75 hotels, the largest of any African city. Its chain openings in 2022-2023 included the 178-room Crowne Plaza West Cairo Arkan and Hilton's 252-room Waldorf Astoria Cairo Heliopolis, opened in August 2023 as the brand's first hotel in Africa and absent from the survey list. Egypt's other openings in those two years were resorts in Taba, El Gouna, Port Ghalib, Sharm El Sheikh, Hurghada and Aswan.

Addis Ababa and Nairobi have each held 2,900 to 4,900 pipeline rooms since 2017. In 2019, 84% of Ethiopia's pipeline rooms were in Addis Ababa, alongside many half-built unbranded hotels, and W Hospitality raised the risk of oversupply. The two cities delivered 89 and 272 chain rooms in 2022-2023.

2%

of the 17,887 pipeline rooms in the six largest sub-Saharan city pipelines opened in 2022-2023

3.8x

growth in Greater Cairo's pipeline between 2017 and 2024, to 14,247 rooms



CHAPTER 4

04

The arithmetic of a key

A hotel stays in the pipeline until someone pays for it. In much of Africa, the price of a new key and the cost of local-currency debt, made worse in several countries by currency falls since 2015, make that payment hard to justify.

W Hospitality has named finance as the main cause of delay in its surveys since at least 2017: "the money is usually the issue", followed by permits and construction. Its reports also record that banks are reluctant to lend when schedules are uncertain, that multilateral lenders had become "evermore risk averse" by 2021, and that the developer of a stalled hotel needing US$10m to finish was offered only local financing at 24 to 26%, which did not work.

The diagnosis is repeated every year and rarely priced. This chapter prices it: what a key costs, what it must earn to pay interest at local rates, how much more local currency it takes than in 2015, and how much development finance reaches hotels.

Most cost figures come from IFC project disclosures, which give total cost and keys for named hotels. Performance comes from the accounts of listed owners and from national statistics, and rates from central banks and the World Bank. Costs are nominal and span 2005 to 2026; the year is shown with each.

> *Finance has been blamed for the delays since at least 2017. It has rarely been priced.*

TERMS USED IN THIS CHAPTER

Key: a lettable room or suite. **Cost per key:** total project cost divided by keys, including land, building, fit-out and pre-opening where the source includes them. **RevPAR:** rooms revenue per available room night, or occupancy multiplied by average daily rate. **Currency multiple:** local currency per US dollar in September 2026 divided by the rate at the end of 2015.

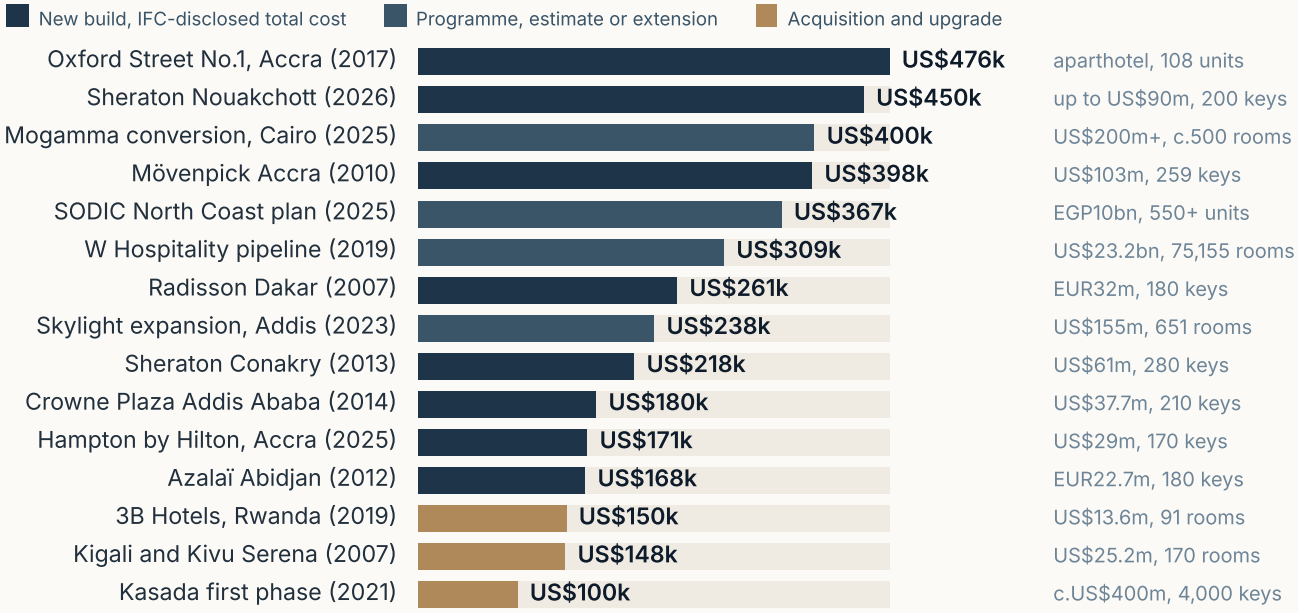
COST

Buying and upgrading an African hotel costs about half as much per key as building one

EXHIBIT 12

An existing hotel costs 40 to 60% of a new one per key

Total project cost divided by keys or rooms, nominal US$ in the year of disclosure



Source: IFC project disclosures (SPI/SII 26071, 26081, 30029, 31761, 32408, 33201, 38970, 42084, 44585, 48242, 50635); W Hospitality Group (2019; its estimate excludes land and financing charges); Ahram Online (4 Feb 2025; Mogamma investment also covers serviced apartments and other uses); Enterprise (14 Jul 2025, EGP49.55/US$ at 30 Jun 2025); Capital Ethiopia (2023, Skylight). EUR at US Treasury rates of the disclosure date. **Heirstone analysis.**

Eight new-build hotels financed by IFC between 2007 and 2026 cost between about US$168,000 per key (Azalaï Abidjan, 2012) and US$476,000 (an Accra aparthotel, 2017). The median is about US$240,000. W Hospitality's US$23.2bn estimate for the 2019 pipeline, excluding land and financing, implies about US$308,700 per room, probably higher because the pipeline leans to upscale and luxury.

Two recent Egyptian schemes reflect high-end and heritage specifications: SODIC's EGP10bn North Coast plan for 550-plus units works out at about US$367,000 per unit, and the Mogamma conversion on Tahrir Square at up to US$400,000 per room, as its US$200m-plus also covers apartments.

Acquisition and upgrade costs far less. Kasada's first phase, about US$400m for up to 20 existing Accor-managed hotels and 4,000 keys, implies about US$100,000 per key. The purchase and rehabilitation of the Kigali and Kivu Serena hotels cost about US$148,000 per room, and 3B Hotels' Rwandan acquisition and completion about US$149,500. That is 40 to 60% of the new-build median.

Set against revenue, the gap is wide. Southern Sun, South Africa's largest listed hotel group, earned RevPAR of R959 in the year to March 2026, about US$56 at ZAR17.087 (31 March 2026). A key at the 2019 pipeline average equals about 15 years of that rooms revenue, before any cost.

US$240k

median cost per key of eight IFC-financed new builds, 2007-2026 (Heirstone analysis)

15 years

of Southern Sun's RevPAR to equal the cost of an average 2019 pipeline key (Heirstone analysis)

DEBT

At local rates of 22 to 24%, interest on an average key needs over three times Southern Sun's RevPAR

EXHIBIT 13

Illustration: the RevPAR a hotel would need just to pay interest at local rates

Nightly RevPAR needed to pay one year's interest on a fully debt-funded key, by cost per key and lending rate; an illustration, not a forecast

At or below Southern Sun's US$56 RevPAR | US$57-100 | US$101-150 | Above US$150

COST PER KEY	SOUTH AFRICA prime, 2026: 10.75%	EGYPT tourism loan programme, 2024: 12.00%	KENYA avg lending, 2024: 16.59%	ANGOLA avg lending, 2024: 19.40%	NIGERIA Transcorp loan, 2026: 22.00%	EGYPT avg lending, 2024: 24.29%
US$100,000 acquire and upgrade, low	US$29	US$33	US$45	US$53	US$60	US$67
US$150,000 acquire and upgrade, high	US$44	US$49	US$68	US$80	US$90	US$100
US$240,000 new build, IFC median	US$71	US$79	US$109	US$128	US$145	US$160
US$308,700 pipeline average, 2019	US$91	US$101	US$140	US$164	US$186	US$205

Source: Heirstone analysis: cost per key x annual rate / 365; interest only, no principal, operating costs, fees or tax. Rates: South African Reserve Bank (prime, 2026); World Bank FR.INR.LEND (Kenya, Angola, Egypt, 2024); Transcorp Hotels H1 2026 statements (22.0% five-year naira loan); Enterprise (29 Dec 2024: EGP50bn subsidised tourism loan programme at 12%, launched November 2024). Dollar costs set against local-currency rates, which embed local inflation. Reference: Southern Sun FY2026 (year to 31 Mar 2026) RevPAR R959, about US$56 at ZAR17.087/US$ (US Treasury, 31 Mar 2026).

Exhibit 13 is an illustration, not a forecast, of the RevPAR a hotel would need to pay interest alone if its whole cost were borrowed at local rates. For the average pipeline key the answer is US$186 a night at the 22% Transcorp Hotels pays on its five-year naira loan and US$205 at Egypt's 2024 average lending rate, against US$91 at South African prime and US$101 at the 12% of Egypt's subsidised tourism loan programme. Real projects mix equity and debt, which lowers the figure, though equity expects a higher return. Local rates also carry local inflation, which should lift room rates over time.

Rates rose across the continent as the pipeline grew. Kenya's average lending rate went from 12.08% in 2021 to 16.59% in 2024 and Egypt's from 9.43% to 24.29%; Egyptian rates have since eased. Transcorp Hotels' accounts show an older eight-year naira facility at 10.0% beside a new N42.92bn five-year loan at 22.0%, and finance costs rose from N1.84bn to N3.06bn between the first halves of 2025 and 2026. Nigeria's 2036 naira bond cleared at 16.79% and Kenya's 30-year shilling bond at 14.24% in September 2026.

Only acquire-and-upgrade keys, mostly at South African or Kenyan rates, come near Southern Sun's group RevPAR of about US$56, and its hotels outside South Africa earned about US$48 (39.5% occupancy at an ARR of R2,066). Greenfield sponsors in IFC disclosures have put in a high share of equity: 66% of the US$29m for the 170-room Hampton by Hilton at Accra's Kotoka airport, and 50% of the US$32m for two Protea Select hotels in Nigeria in 2009. Pickalbatros put in 22% of its US$386m Moroccan acquisition and refurbishment programme, backed by 39 operating hotels.

US$56

Southern Sun's group RevPAR in the year to March 2026 (R959), from South Africa's largest listed hotel group

66%

sponsor equity in the Hampton by Hilton at Accra airport, against 22% for Pickalbatros in Morocco

16.79%

yield on Nigeria's 2036 naira bond in September 2026

12%

rate on Egypt's EGP50bn tourism loan programme (2024); its central bank's key rate was 19% in September 2026, from a 27.25% peak

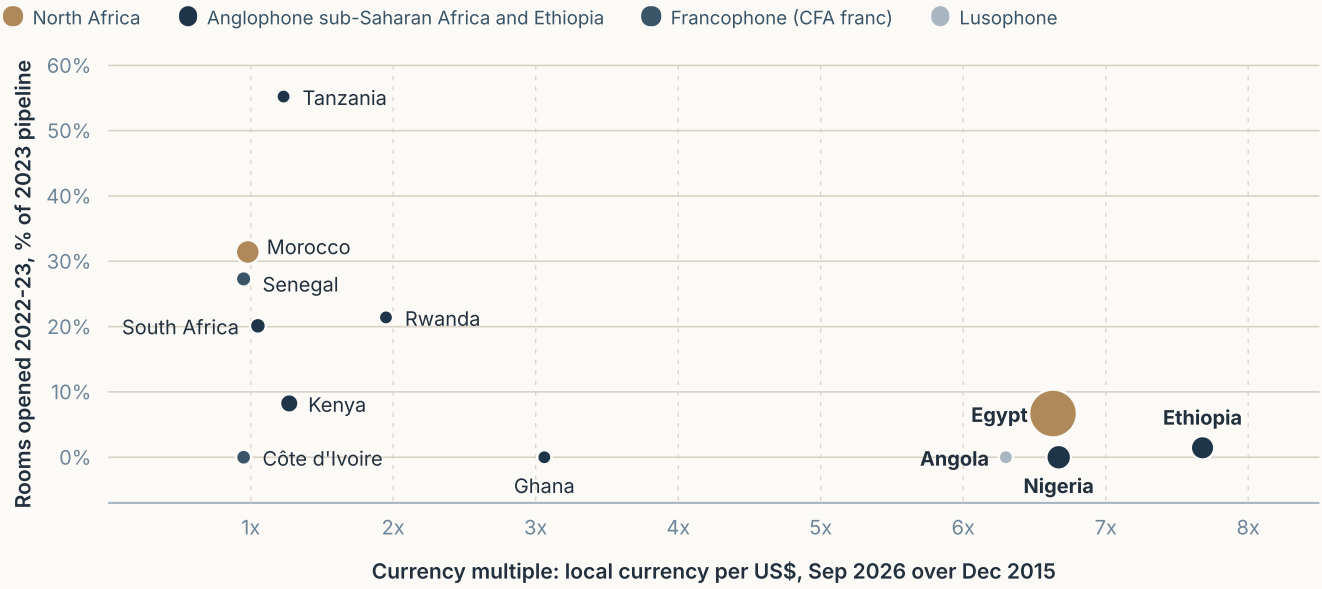
CURRENCY

In twelve countries, delivery was strongest where a key cost under twice as much local currency as in 2015

EXHIBIT 14

Of these twelve, every country delivering a fifth or more of its pipeline had a multiple below two

Twelve countries: currency multiple against rooms opened in 2022-2023 as a share of the 2023 pipeline (circle area: 2023 pipeline rooms). A weaker currency also makes a destination cheaper for foreign guests



Source: US Treasury Reporting Rates of Exchange (31 Dec 2015 and 30 Sep 2026); Heirstone Pipeline Reality Benchmark 2026. Senegal and Côte d'Ivoire share the CFA franc multiple of 0.95. Egypt 7.7% including the Waldorf Astoria Cairo Heliopolis, absent from the survey list. **Heirstone analysis.**

Much of a new hotel's cost is set in dollars or euros, from imported fit-out to systems and equipment; outside the resort markets, much of its revenue is local. A key priced at US$308,700 cost NGN61.4m at the end of 2015 and NGN409.6m at the end of September 2026, a multiple of 6.7. The multiple was 6.6 for the Egyptian pound, after the move to a flexible exchange rate in March 2024, 7.7 for the birr (market rate from July 2024) and 6.3 for the kwanza. For owners in dirhams and CFA francs it was about one.

The four countries with multiples above six delivered between 0 and 6.7% of their pipelines in 2022 and 2023, and Ghana, at three, delivered nothing. Of the twelve, every country that delivered a fifth or more of its pipeline, Tanzania, Morocco, Senegal, Rwanda and South Africa, had a multiple below two. Stability alone was not enough: Côte d'Ivoire, in the CFA zone, opened no chain hotel. With twelve countries the pattern is indicative, and a weaker currency also makes a destination cheaper for foreign guests: Egypt received a record of about 19 million tourists in 2025, up 21% on 2024.

Fees add to the load. Transcorp Hotels, owner of the Transcorp Hilton Abuja, pays Hilton a base fee of 1.5% of revenue plus an incentive fee on gross operating profit, and its parent a 5% technical fee. Fees totalled N4.89bn in the first half of 2026, 11.0% of N44.43bn revenue (US$3.5m of US$32.2m at NGN1,380.08 per dollar, 30 June 2026). Marriott's franchise royalties typically run at 4 to 7% of rooms revenue.

6.7x

naira needed for the same dollar-priced key in September 2026 as at the end of 2015

11.0%

of Transcorp Hotels' revenue paid in management and technical fees, first half of 2026

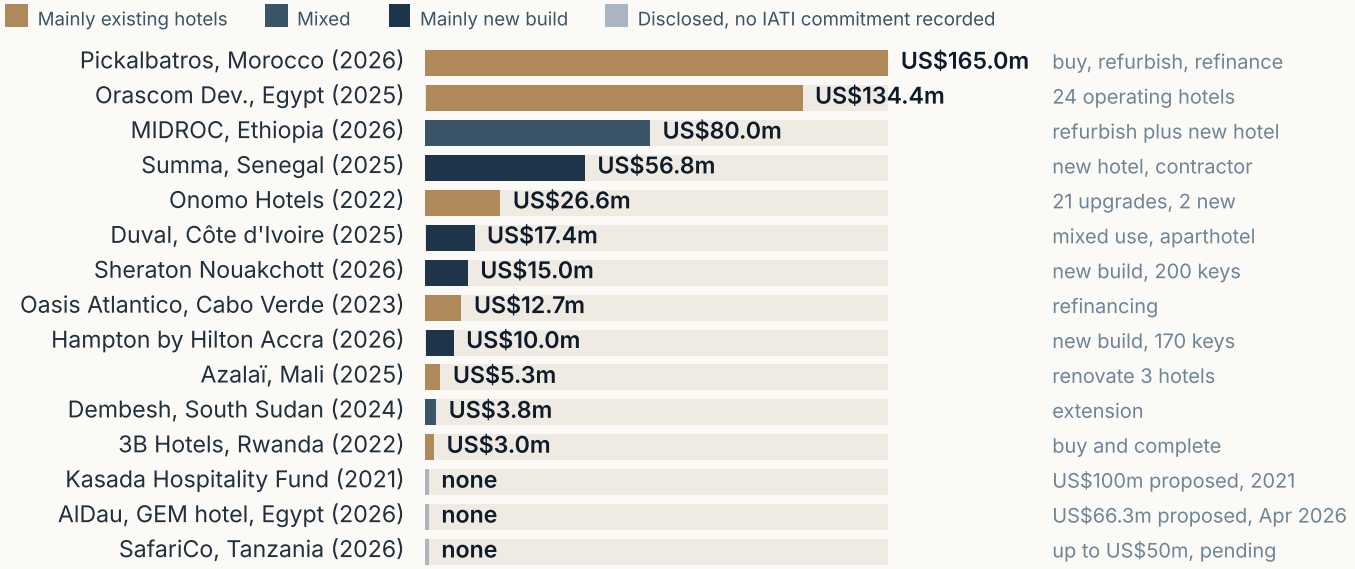
DEVELOPMENT FINANCE

Recorded development finance for African hotels is small, and IFC's recent money favours existing hotels

EXHIBIT 15

IFC hotel commitments since 2020: larger tickets, mostly for operating hotels

IFC hotel-related commitments in Africa with IATI start dates from 2020, US$ million, and three disclosed projects with no IATI commitment (2026)



Source: IATI activity data via d-portal (IFC, reporting organisation XM-DAC-903) and IFC project disclosures (SII 42084, 42535, 43696, 44585, 45729, 47254, 48242, 48740, 48975, 49019, 50635, 51130, 51174, 52177, 52701). Year is the IATI start date. Classification is **Heirstone analysis**.

IATI records show 43 positive hotel-related commitments to Africa by IFC, the African Development Bank, British International Investment and Sweden between 1997 and 2026, about US$964m in all, with a median ticket of US$12.7m, or about 4% of the US$23.2bn W Hospitality put on the 2019 pipeline. The count is a floor, since deals by Proparco, FMO, the EIB and Afreximbank were not captured, and commitments are not disbursements.

IFC's hotel commitments since 2020, US$530m in 12 deals, already exceed the US$315m in 26 deals it recorded from 1997 to 2019. By our classification about 65% of the post-2020 total went to deals mainly about existing hotels, led by Pickalbatros in Morocco (US$165m) and Orascom Development's 24 hotels in Egypt (US$134m), whose sustainability-linked loan replaces short-term debt with long-term debt.

IFC disclosed a proposed US$100m loan to the Kasada Hospitality Fund in February 2021, and IATI showed no commitment against it in 2026, which may mean the loan was not signed, not yet committed or not reported; it says nothing about the project. IFC's US$66.3m loan for a 400-key hotel overlooking the Grand Egyptian Museum and the Giza pyramids was disclosed only in April 2026 and has yet to appear as a commitment. Sweden committed SEK142m (about US$20.5m) to the Radisson Blu Nairobi in 2009 and disbursed it in 2015-2020.

4%

IATI-recorded DFI hotel commitments in Africa since 1997 as a share of the cost of the 2019 pipeline

US$12.7m

median DFI hotel ticket, 1997-2026

2012

year of IFC's last hotel-tagged commitment in Nigeria recorded in IATI



05 The hotels that open

Of the 58 chain hotels the surveys list as opened in 2022 and 2023, 29 were in resort and leisure destinations. Nine were in the twelve large sub-Saharan cities that lead the region's city pipelines.

W Hospitality's appendices list every chain hotel opened in Africa in 2022 and 2023. After removing two double listings, the register holds 58 hotels with 8,256 rooms, and we classified each by location.

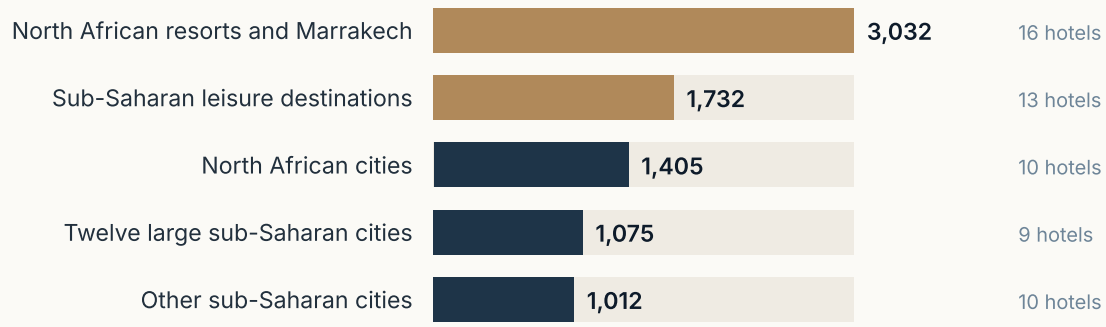
Leisure destinations took 58% of the rooms: 3,032 at North African resorts and in Marrakech, and 1,732 in Zanzibar, on the Serengeti and Maasai Mara circuits, at Victoria Falls and Kruger, in the Seychelles, on Nosy Boraha in Madagascar and at Pointe Sarène in Senegal. North African cities took 1,405 rooms, most of them in Rabat and Casablanca. The twelve large sub-Saharan cities took 1,075 rooms in nine hotels.

Resorts were 24% of pipeline rooms in 2023 and 30% in 2024, so they make up a larger share of what opens than of what is signed. In our view one reason is that resorts sell largely to foreign visitors, which shields part of their revenue from a weak local currency. Zanzibar alone doubled to 14 resorts and 2,048 pipeline rooms in 2024.

EXHIBIT 16

Leisure destinations took 58% of the chain rooms opened in 2022 and 2023

Rooms in chain hotel openings by type of location, 2022 and 2023 combined



Source: W Hospitality Group, 2023 and 2024 reports, Appendix 4; two double listings removed. Twelve large cities (capitals and commercial centres): Lagos, Abuja, Addis Ababa, Nairobi, Accra, Abidjan, Dakar, Kinshasa, Luanda, Kampala, Dar es Salaam and Kigali. **Heirstone classification.**

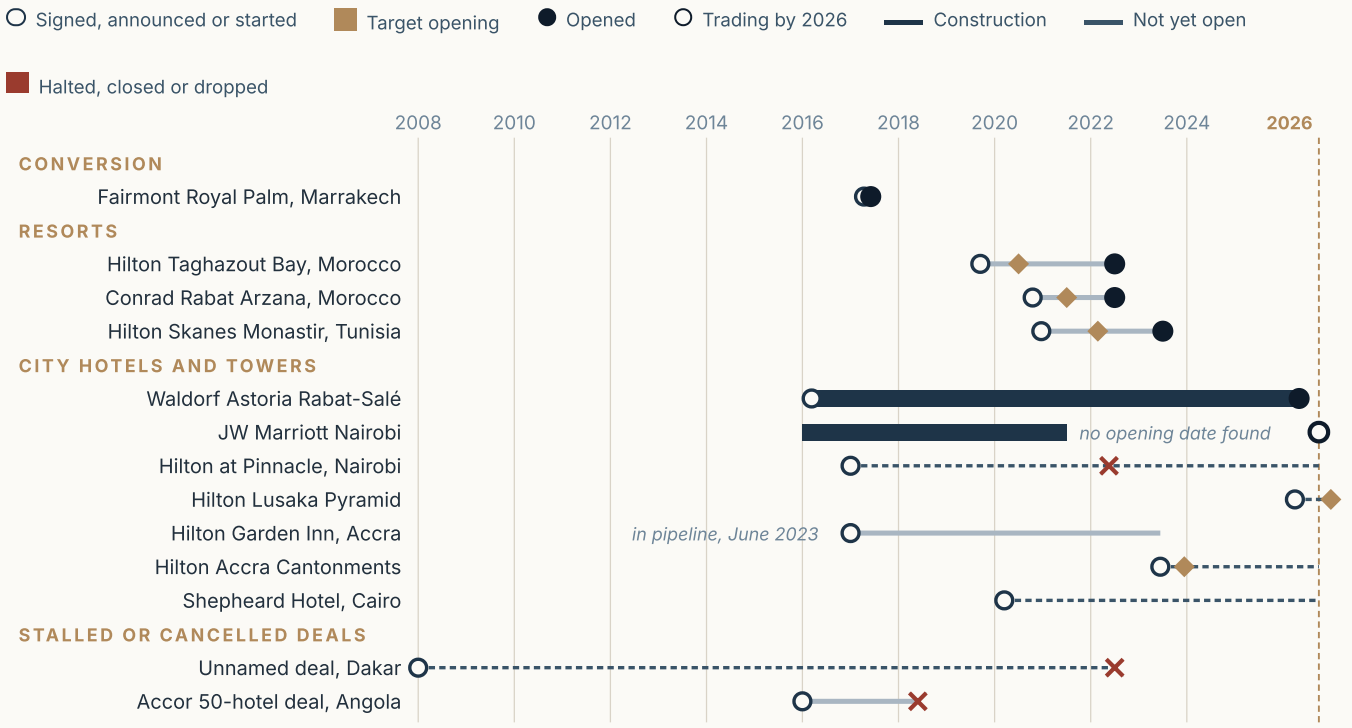
TIME

City towers in this sample took a decade or halted; resorts signed in 2019 and 2020 opened one to two years late

EXHIBIT 17

From signing to opening: named African hotel projects, 2008 to 2027

Announcement, signing or construction start; target opening where published; opening or latest status at 2026



Source: Hilton releases (23 Sep 2019, 15 Oct 2020, 21 Dec 2020, 13 Jun 2023, 31 Mar 2026, 5 May 2026); Accor (11 Apr 2017); W Hospitality Group 2017, 2018, 2022, 2023 and 2024 reports; CTBUH and Marriott (JW Marriott Nairobi); BuyRentKenya (17 May 2022); Atalayar (2021, Mohammed VI Tower); Hotel News Resource (2022, Shepheard Hotel). Dates approximate to the quarter. **Heirstone compilation.**

The named projects with dates fall into two groups. Three Hilton resorts, Taghazout Bay and Conrad Rabat Arzana in Morocco and Skanes Monastir in Tunisia, were announced in 2019 and 2020 for 2020 to early 2022. They opened in 2022 and 2023, on average 1.3 years late, through the pandemic.

City hotels took far longer. The Waldorf Astoria Rabat-Salé opened in 2026 in a tower whose first stone was laid in 2016, at a cost Atalayar, a news site, puts at EUR357m. Nairobi's Pinnacle tower, earmarked for a Hilton, started in 2017 and was reported halted by BuyRentKenya in 2022. Hilton's first Ghanaian hotel, due in December 2023, was still described as opening that year in March 2026.

In Cairo, the state company EGOTH awarded the redevelopment of the Shepheard Hotel to a subsidiary of Saudi Arabia's Al Sharif Group in 2020, and Mandarin Oriental signed in 2022 to manage it, with 188 rooms and 88 suites, according to Hotel News Resource. The sample is small and lacks several signing dates, but it is consistent with the openings register.

1.3 years

average delay of three resorts signed in 2019-2020 (Heirstone analysis)

10 years

from first stone (2016, per Atalayar) to opening at the Waldorf Astoria Rabat-Salé

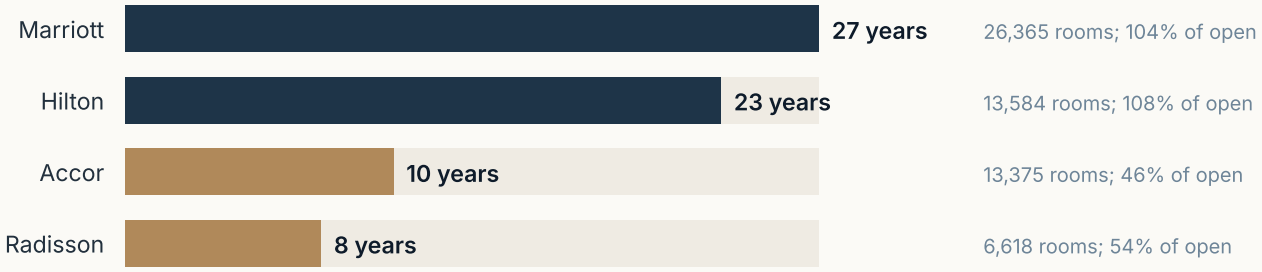
CONVERSION

The chains that convert existing hotels clear their pipelines fastest

EXHIBIT 18

At their 2016-2023 opening pace, Radisson and Accor would open their 2024 pipelines in about a decade; Hilton and Marriott would need over two

Years to open each chain's 2024 African pipeline at its average rooms opened a year in 2016-2023 (indicative); pipeline rooms and pipeline as % of open rooms, 2024



Source: W Hospitality Group, 2017 to 2024 reports (chain opening tables and 2024 pipeline-to-existing table). Average openings: Accor 1,289, Radisson 871, Marriott 981 and Hilton 589 rooms a year; years in which a chain was not itemised count as zero (Marriott 2018, Hilton 2016), which lengthens its figure. **Heirstone analysis.**

Radisson is the clearest case of a conversion-led pipeline. It opened four Moroccan hotels in 2021 and a Tunisian one in 2022 in the year each was signed, opened nine African hotels in 2022, more than any other chain, and had 85 to 100% of its pipeline rooms on site in the 2022 and 2023 surveys. Its 2024 pipeline equalled 54% of its open rooms; Hilton's and Marriott's equalled 108% and 104%. Exhibit 18 is indicative: the opening lists are partial and the chains' strategies differ. It suggests that a large pipeline relative to existing hotels measures signing activity more than future supply.

Conversions are fast because the building exists. Accor announced in April 2017 that New Mauritius Hotels' Royal Palm Marrakech would take the Fairmont flag the following month. In July 2018 Accor and Qatar's Katara Hospitality launched the fund that became Kasada, with US$500m of equity to build or convert about 40 hotels in sub-Saharan Africa; IFC's 2021 disclosure describes buying and upgrading up to 20 Accor-managed hotels at about US$100,000 per key.

Franchising is growing from a low base. Franchise deals signed rose from 11 in 2020 to 31 in 2022, franchises reached 15% of pipeline deals in 2024, and franchised hotels are smaller, 133 rooms on average against 183. Southern Sun shows another way to share capital: its R510m (about US$30m at ZAR17.087, March 2026) refurbishment of the leased Elangeni and Maharani in Durban comes with a three-year rent-free period from the landlord.

Egypt is turning former government buildings in central Cairo into hotels: the Mogamma on Tahrir Square into a Marriott Autograph Collection hotel of about 500 rooms with serviced apartments, and the former interior ministry at Lazoghly into a Marriott-managed complex with 364 rooms. Heritage conversions can cost as much as new builds: the Mogamma carries up to about US$400,000 per room.

9

Radisson hotels opened in Africa in 2022, the most of any chain

1 month

between Accor's Fairmont announcement for Royal Palm Marrakech and the scheduled flag change (2017)

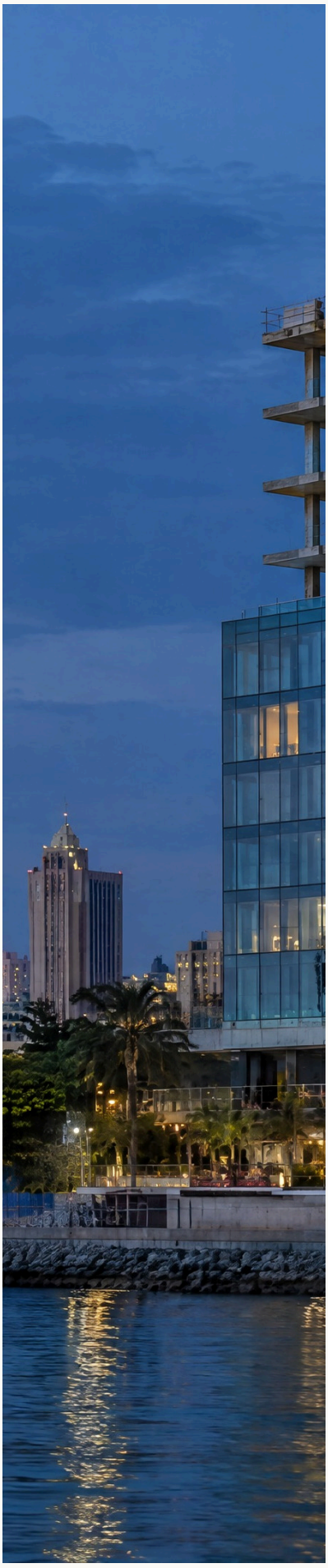
31

franchise deals signed in 2022, up from 11 in 2020

CHAPTER 6

06

North Africa and Sub-Saharan Africa



Egypt and Morocco open the most chain rooms in Africa. In the large sub-Saharan cities, pipelines barely move.

Exhibit 19 groups the benchmark by region and language. Egypt and the Maghreb together delivered more than half of the chain rooms opened in 2022-2023: the Maghreb a third, from 15% of pipeline rooms, and Egypt a fifth, from Africa's largest national pipeline. Anglophone sub-Saharan Africa and Ethiopia hold the largest block, 31,239 rooms, and delivered 8.5% of their 2023 pipeline. Francophone sub-Saharan Africa delivered 8.0%, with half its rooms not yet on site. The three lusophone countries, led by Cape Verde, delivered nothing.

EXHIBIT 19

Egypt and the Maghreb delivered more than half of Africa's chain openings in 2022 and 2023

Pipeline rooms (2024), share on site (2024), chain rooms opened in 2022-2023 and delivery ratio, by region and language group

REGION (COUNTRIES)	PIPELINE ROOMS 2024	SHARE	ON SITE	OPENED 2022-23	SHARE	DELIVERY RATIO %	YEARS TO CLEAR
Egypt (1)	26,241	28%	36%	1,918*	20%	7.7*	27*
Maghreb (5)	14,247	15%	73%	2,771	34%	22.9	10
Anglophone sub-Saharan and Ethiopia (18)	31,239	34%	63%	2,424	29%	8.5	26
Francophone sub-Saharan (13)	12,051	13%	49%	1,017	12%	8.0	24
Lusophone (3)	6,498	7%	39%	0	0%	0.0	none
Indian Ocean islands (3)	1,917	2%	64%	378	5%	25.1	10
Africa (43)	**92,193**	**100%**	**53%**	**8,256**	**100%**	**9.8**	**22**

Source: Heirstone Pipeline Reality Benchmark 2026, from W Hospitality Group 2023 and 2024 reports. Maghreb includes Mauritania and Libya; Ethiopia, Rwanda and the other anglophone and Horn countries are grouped together; Cameroon and Djibouti are counted as francophone. *Egypt including the Waldorf Astoria Cairo Heliopolis (252 rooms, August 2023), absent from the survey list; survey list alone 1,666 rooms, 6.7% and 32 years. Shares and the Africa total follow the survey lists. **Heirstone analysis.**

The Gulf appears in this record as a source of capital more than as a rival destination. Qatar's Katara Hospitality and the Qatar Investment Authority stand behind Kasada with Accor, and Saudi Arabia's Al Sharif Group signed the Shepheard redevelopment in Cairo in 2020. Capital also moves within Africa: Pickalbatros, an Egyptian group, holds IFC's largest recorded African hotel commitment, for its Moroccan hotels.

NORTH AFRICA

Egypt holds Africa's largest pipeline and opened the most chain rooms after Morocco

Egypt: the largest pipeline, a fifth of openings

Egypt held 28% of Africa's pipeline in 2024, 109 hotels and 26,241 rooms, the most of any country, and 19 hotels with about 5,200 rooms were signed there in 2023 alone. The share of its pipeline rooms on site rose from 27.5% to 36.1% in a year. Its 2022-2023 openings, 1,666 rooms in the survey lists plus the 252-room Waldorf Astoria Heliopolis, were second only to Morocco's and equal 6.7 to 7.7% of its 2023 pipeline.

Tourism demand gives the pipeline momentum: arrivals reached a record of about 19 million in 2025, up 21%, and the government targets 30 million by 2028. The March 2024 move to a flexible exchange rate made Egyptian hotels better value for foreign guests, and in November 2024 the government launched an EGP50bn tourism loan programme at 12%, about half the 2024 average lending rate. Marriott's July 2026 agreement with Misr Italia Properties and People & Places alone covers nine projects with more than 1,500 keys, about 55% of them branded residences.

Egypt's openings have been led by its resorts. Six of its seven openings in the survey lists for 2022-2023 were in Taba, El Gouna, Port Ghalib, Sharm El Sheikh, Hurghada and Aswan, and El Gouna's hotels ran 75% occupancy in 2025. IFC's largest Egyptian hotel commitment since 2020, US$134m, refinances and upgrades Orascom Development's 24 operating hotels with long-term, sustainability-linked debt.

Morocco: a stable currency and steady delivery

Morocco had 52 hotels and 7,169 rooms in its pipeline in 2024, 65% on site (75.8% in 2023). It delivered 2,001 chain rooms in 2022-2023, 31% of its 2023 pipeline and the most of any country, at Taghazout Bay and Saïdia, in Marrakech, and in Rabat and Casablanca. The dirham ended September 2026 slightly stronger against the dollar than at the end of 2015; Marrakech's classified hotels ran 71% occupancy in the first half of 2025, according to the national tourism observatory as reported by Hespress. IFC's largest African hotel commitment in the IATI data, US$165m in 2026, went to Pickalbatros to buy three assets, refurbish hotels and refinance debt in Morocco.

Tunisia, Algeria, Mauritania and Libya

Tunisia's pipeline was entirely on site in 2023 and 82.2% on site in 2024, when it held 4,121 rooms. It delivered 618 chain rooms in 2022-2023, 29% of its 2023 pipeline, including a Radisson opened in the year it was signed and the 332-room Hilton Skanes Monastir (340 in the survey list). Algeria reported about 80% of its pipeline on site but delivered 5.3%, a single 152-room Mercure in Algiers. Mauritania's 200-key Sheraton in Nouakchott, 62% owned by the state miner SNIM, has up to US$15m of IFC finance within a cost of up to US$90m. Libya had no new deals from 2018 and none in the pipeline in 2024.

20%

of Africa's chain rooms opened in 2022-2023 were in Egypt, second only to Morocco among countries

75

hotels in Greater Cairo's 2024 pipeline, the largest of any African city

27%

growth in North Africa's pipeline in the 2026 survey, mostly in Morocco and Egypt

31%

Morocco's delivery ratio, on a currency multiple of 0.98

US$165m

IFC's largest African hotel commitment, to the Egyptian group Pickalbatros for its Moroccan hotels (2026)

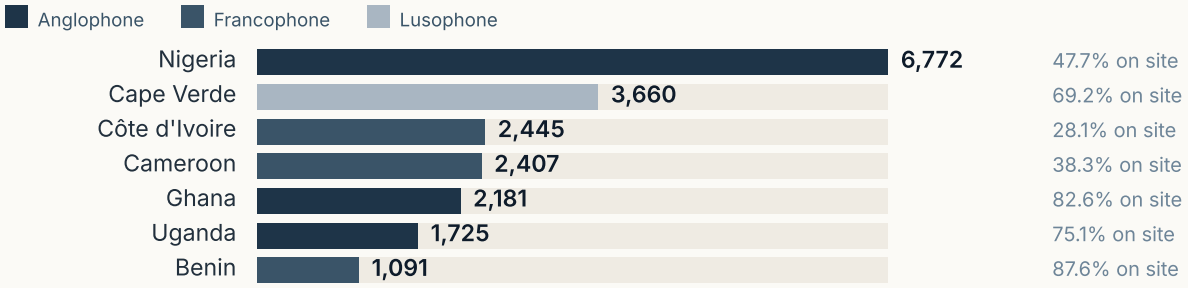
WEST AND CENTRAL AFRICA

Seven sub-Saharan pipelines with 20,281 rooms opened no chain hotel in 2022 or 2023

EXHIBIT 20

Large pipelines, no openings

Countries with more than 1,000 pipeline rooms in 2023 and no chain openings in 2022-2023: pipeline rooms and share on site, 2023



Source: W Hospitality Group, 2023 report (Appendix 2) and 2023 and 2024 reports (Appendix 4). **Heirstone analysis.**

Nigeria

Nigeria led the continent's pipeline in 2017 with 10,313 rooms and held 7,622 in 2024. W Hospitality reported in 2024 that local-currency construction costs had doubled or tripled as inflation neared 30% and the naira fell. The naira went from NGN198.9 per dollar at the end of 2015 to NGN1,326.78 in September 2026. IFC's last hotel-tagged Nigerian commitment in IATI dates from 2012, and Southern Sun sold its interest in Southern Sun Ikoyi in Lagos during its 2026 financial year.

Ghana

Ghana shows demand without delivery. Its licensed five-star hotels ran 74.3% occupancy in 2025, according to the Ghana Tourism Authority, and 82.6% of the 2023 pipeline was on site, yet no chain hotel opened in 2022 or 2023 and Hilton's first Ghanaian hotel, due in December 2023, was still expected in 2026. The cedi lost two-thirds of its dollar value between 2015 and 2026, and the Bank of Ghana's policy rate peaked at 30% in 2023 before falling to 14% by 2026. The Hampton by Hilton at Kotoka airport, with 66% sponsor equity and a 12-year IFC loan, shows a structure that can work.

Francophone West and Central Africa

Francophone sub-Saharan Africa held 12,051 pipeline rooms in 13 countries in 2024, 49% on site, and delivered 8% in 2022-2023: the Hilton and Novotel in Kinshasa, Azalaï's hotel in Dakar and Riu's resort at Pointe Sarène. Its owners faced no lasting currency shock against the dollar, since the CFA franc's euro peg left a dollar-priced key slightly cheaper in 2026 than in 2015, yet Côte d'Ivoire opened nothing with 25.9% of its pipeline on site, and Cameroon nothing with 41.7%. Much of the recent building and refurbishment we found is the work of regional owner-operators and of funds that buy existing hotels: Onomo, with more than 25 hotels in 13 countries and finance from BII and IFC; Azalaï, financed by IFC in Abidjan and for renovations in Dakar, Ouagadougou and Bamako; and Kasada. In our view the binding constraint here is equity and sponsor depth more than currency.

20,281

pipeline rooms in seven countries with no chain opening in 2022-2023

74.3%

occupancy at Ghana's licensed five-star hotels in 2025

0.95x

the CFA franc's currency multiple, 2015 to 2026

EAST AND SOUTHERN AFRICA

East Africa opens at the coast and in the parks; South Africa publishes the most hotel performance data

Ethiopia

Ethiopia had 93.4% of its pipeline on site in 2024, 31 hotels with 5,128 rooms, and opened one chain hotel, of 89 rooms, in 2022-2023. Ethiopian Airlines added 651 rooms to its Skylight Hotel in Addis Ababa in 2023 at a reported cost of US$155m, more than seven times the chain rooms opened in the country in those two years. The birr moved to a market-determined rate in July 2024 and traded at ETB161.7 per dollar in September 2026, against ETB21.07 at the end of 2015. IFC's US$80m loan to MIDROC in 2026 refurbishes the Sheraton Addis and adds a second Sheraton.

Kenya

Kenya's pipeline held between 3,155 and 4,354 rooms in every top-ten table from 2017 to 2022 and delivered 8.2% in 2022-2023, mostly serviced apartments and small hotels in Nairobi plus a JW Marriott lodge in the Maasai Mara. Official returns show 9.99m hotel bed-nights against 135,085 classified beds in 2024, a utilisation of about 20% on our calculation, assuming every classified bed was available all year. The average lending rate reached 16.59% in 2024; the shilling's multiple since 2015 is a modest 1.27.

Tanzania, Uganda and Rwanda

Tanzania delivered 55% of its 2023 pipeline, mostly at Zanzibar resorts, including Riu's 461-room Jambo, plus a lodge at Ngorongoro and hotels in Dar es Salaam and Dodoma. In December 2025 IFC disclosed a proposed loan of up to US$50m, pending approval, to refurbish two Sopa safari lodges. Uganda's 1,725 pipeline rooms were 75.1% on site in 2023 and none opened; Hilton Kampala, listed in Hilton's pipeline in 2019, is absent from the opening lists. Rwanda opened one city hotel, the 154-room Four Points by Sheraton Kigali, and its small pipeline was only 16.9% on site in 2024.

Southern Africa and the islands

South Africa is the deepest market and has the most complete public performance data: national hotel occupancy of 56.2% in July 2026, according to Statistics South Africa, and Southern Sun's 64.3% at home against 39.5% at its hotels elsewhere in Africa and the Indian Ocean. It delivered 20% of its pipeline in 2022-2023, in Johannesburg, Durban and the safari areas. Angola shows how fast a pipeline can vanish. Third in Africa in 2017 with 54 hotels and 6,939 rooms, mostly from Accor's 50-hotel agreement with AAA Activos, it had 2 hotels and 245 rooms in 2023 after the deal fell away; the kwanza lost 84% of its dollar value between 2015 and 2026. Zambia delivered 29% of its pipeline, including the 200-room Radisson Blu resort at Livingstone. Mauritius, with 1,290 pipeline rooms, opened no chain hotel, while Madagascar opened more chain rooms than its pipeline held.

651

rooms added to Ethiopian Airlines' Skylight Hotel in 2023, against 89 chain rooms opened in Ethiopia in 2022-2023

55%

Tanzania's delivery ratio, led by Zanzibar resorts

c.20%

utilisation of Kenya's classified hotel beds in 2024 (Heirstone analysis of official returns; indicative)

6,939

pipeline rooms in Angola in 2017; 245 in 2023

CHAPTER 7

07 The Heirstone Opening Test

Seven questions, each answerable from documents and a site visit, that place a signed hotel in one of four states and say how its rooms should be counted.

EXHIBIT 21

The Heirstone Opening Test for a signed hotel

Questions to ask of any hotel in a chain pipeline, with the pass condition, the red flag and the evidence behind each

#	QUESTION	PASSES WHEN	RED FLAG	EVIDENCE IN THIS REPORT
1	**Is the equity in?**	Sponsor equity is paid in or escrowed at the share lenders ask	Equity to come from later phases or pre-sales; one partner behind many signings	Accra airport Hampton 66% and Nigerian Protea 50% equity; Angola's 50-hotel deal
2	**Does the debt match the hotel?**	Tenor of ten years or more with grace, in the currency the hotel earns	Five-year local debt above 20%; interest alone above achievable RevPAR	Illustrative US$186-205 RevPAR for interest alone at 22-24%, against Southern Sun's US$56; 12-year IFC loan at Kotoka
3	**Does the building exist?**	Conversion, or acquisition and upgrade of a trading hotel	Not a red flag: a new build takes the longer path to opening	US$100,000-150,000 per key against a US$240,000 new-build median; same-year Radisson openings
4	**Is the site active?**	Labour on site and construction drawdowns in the last quarter, observed	"On site" in the chain's report only	7 of 13 Lagos sites closed (2024); Ghana 82.6% on site, no openings in 2022-23
5	**Is the deal young and the date steady?**	Signed within five years; opening date unchanged	More than five years since signing, or the opening year deferred twice	35 deals 10 or more years old (2024); 14% of rooms scheduled four years out were on site (2019)
6	**Has this format opened here lately?**	A format and market with chain openings in the past two years	A new-build city tower where nothing has opened	Leisure destinations 58% of rooms opened; six sub-Saharan city pipelines delivered 2%
7	**Is the fit-out funded?**	Fit-out, equipment and pre-opening in the original financing	Shell rising with no fit-out budget committed	A finished tower in Nairobi (2021) with its hotel trading only by 2026; half-built structures stranded up to 15 years

Source: Heirstone Consulting. Thresholds are set from the evidence in chapters 1 to 6 and should be adjusted to each market.

READING THE RESULT: FOUR STATES AND HOW TO COUNT THEM

STATE 1

Converting

An existing hotel being re-flagged, or bought and upgraded.

Count its rooms within 12 months.

Radisson opened five hotels in their year of signing; Fairmont Royal Palm took a month.

STATE 2

Funded and building

Passes questions 1, 2, 4 and 7.

Count at the scheduled date plus a year.

Resorts signed in 2019-2020 opened 1.3 years late on average.

STATE 3

Stalled

On site or a finished shell, but fails question 4 or 7.

Count nothing until work and funding resume.

Closed Lagos sites and the 2008 Dakar deal (W Hospitality); Pinnacle in Nairobi (reported halted).

STATE 4

Signed only

No site, and fails question 1 or 2.

Count nothing; hold it as an option.

46% of 2024 pipeline rooms had no site activity.

Question 3 separates conversions from new builds. A new build that passes questions 1, 2, 4 and 7 is funded and building, and a failure on question 5 or 6 should push its expected date later. Failing question 4 or 7 makes a hotel stalled; failing question 1 or 2 with no active site makes it an option. Tourism authorities can apply the test to a national pipeline, lenders to a credit file and operators to their own signings. In the 2024 survey, 42,892 rooms had no site at all, the pool from which signed-only hotels come.

WHAT TO DO

Count a hotel when its capital is in place

The pipeline is likely to keep setting records while signing stays cheap and building stays expensive. Each party can act on that gap.

Governments, tourism authorities and investment agencies

Publish a live pipeline. Report signed rooms by state and drop deals over five years old with no verified site work from room targets; 35 deals with about 8,000 rooms in the 2024 survey were ten or more years old.

Plan on verified rooms. Chain schedules have delivered 29 to 32% of the rooms promised over two years. On that record, a plan built on the 46,570 rooms scheduled for 2024-2025 should assume nearer 14,000.

Lower the cost of building debt. Egypt's EGP50bn tourism loan programme at 12% (2024) about halves the interest a new key pays at the 2024 average lending rate.

Make conversion easy. Fast-track classification and licensing for re-flagged hotels and count converted rooms towards targets. On our calculation, Kenya's classified beds were used about 20% of the time in 2024.

Put time limits in land and incentive agreements. Tie allocations and incentives to construction milestones so that closed sites and decade-old shells return to the market.

Owners and developers

Sign the flag after the capital. Have equity, site and matched debt in place before announcing a brand; the two sub-Saharan greenfield hotels in IFC disclosures we cite were 50 to 66% equity-funded.

Price an existing hotel first. Acquisition and upgrade cost US$100,000 to 150,000 per key in IFC disclosures, against a new-build median of about US$240,000.

Fund the fit-out at the start. Put fit-out, equipment and pre-opening into the original financing; W Hospitality reports half-built hotel structures stranded for up to 15 years.

Size the hotel to the market's RevPAR. Upscale and above make up 84.6% of pipeline rooms. Where interest is high, a franchise or owner-operator model with a lighter fee load than Transcorp's 11% helps.

Lenders and development finance institutions

Treat a signed agreement as an option. Credit only verified progress against the Opening Test, and track whether disclosed loans are recorded as commitments; a zero in IATI may mean a loan is unsigned, not yet committed or unreported.

Lengthen tenor and match currency. The 12-year loan with three years' grace for the Accra airport Hampton is a model; in our illustration, five-year local money at 22% needs US$145-186 of RevPAR a night for interest alone on a new key.

Back hotels that already trade. Deals mainly about existing hotels took about 65% of IFC's hotel commitments since 2020; regional owner-operators such as Onomo and Azalaï carry delivery in francophone markets.

Condition the shell on the fit-out. Make committed fit-out and pre-opening funding a condition of first drawdown on construction debt.

Hotel operators

Publish delivery alongside signings. Report rooms opened against rooms signed, by year of signing. W Hospitality's actualisation rate, the main public measure, was 21% in 2023.

Lead with conversion and franchise brands where stock exists. Radisson, with a pipeline equal to 54% of its open rooms, would clear it fastest at its recent pace.

Weigh single-partner portfolio deals with care. Angola went from third in Africa's pipeline in 2017 to two hotels in 2023 after Accor's 50-hotel agreement there fell away.

Clean the pipeline every year. Deals with no site after five years should leave the published count; Accor's clean-outs cut its African pipeline by 16.2% and then 23.5%.

How Heirstone works on hotel development

We help owners, investors, lenders and public bodies decide what to build, buy or convert and what it is worth: hotel market and demand studies, highest and best use, financial feasibility with DCF, IRR, NPV and Monte Carlo testing, pipeline and site reviews using the Opening Test, destination and tourism strategy, and benchmarking of the kind in this report.

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NOTES, SOURCES AND DEFINITIONS

Notes

Definitions

Pipeline: hotels for which an international or regional chain has signed a management, franchise or other agreement and which have not opened, as reported by the chains to W Hospitality Group, usually at the start of each year. **On site:** the chain reports that construction or conversion has started. **Actualisation:** W Hospitality's share of the hotels scheduled to open in a year that opened in that year. **Delivery ratio:** rooms in chain openings in 2022 and 2023 divided by the country's 2023 pipeline rooms. **Years to clear:** 2024 pipeline rooms divided by the average rooms opened a year in 2022-2023. **Currency multiple:** local currency per US dollar at 30 September 2026 divided by the rate at 31 December 2015. **Key:** a lettable room or suite. **RevPAR:** rooms revenue per available room night. **ARR:** average room rate. **DFI:** development finance institution.

Method and limits

The opening register is W Hospitality's list of chain hotels opened in 2022 and 2023, with two double listings removed; it omits some openings, such as the Waldorf Astoria Cairo Heliopolis, which we note where relevant. Openings for 2024 and 2025 and the full 2025 and 2026 reports were not available, so the benchmark measures delivery over 2022-2023 only. Room-based ratios include hotels that opened without first appearing in the pipeline and are upper bounds. Chain years to clear use partial opening tables and are indicative. Project costs are nominal in the year of disclosure; euro amounts use US Treasury rates of that date, and recent local-currency amounts use the rate stated with them. The interest arithmetic is an illustration, not a forecast: it assumes full debt funding and ignores principal, costs and tax. DFI figures are IATI commitments found by text search, so they omit some lenders; disbursements may be lower or later. Southern Sun's rand figures are converted at the US Treasury rate for its financial year end (ZAR17.087, 31 March 2026). Hotel performance for most African cities is not published, so Southern Sun and Statistics South Africa serve as the reference. Several facts on individual projects rest on a single press source and are attributed in the text.

Use of this report

This report is published for general information. It is not investment, legal or valuation advice and should not be relied on as such. It uses public information only. © Heirstone Consulting L.L.C-FZ, 2026. Images are illustrative.

PIPELINE, OPENINGS AND AGE (CHAPTERS 1 AND 2)

W Hospitality Group, Hotel Chain Development Pipelines in Africa 2017, 2018, 2023 and 2024 (PDF reports); Africa Hotel Pipeline Report 2019, 2020, 2021 and 2022 (PDF reports); report pages for 2025 and 2026. Hilton release, 22 August 2023 (Waldorf Astoria Cairo Heliopolis). CTBUH Skyscraper Center and Marriott property page (JW Marriott Nairobi, accessed 2026).

BENCHMARK AND CITIES (CHAPTER 3)

W Hospitality Group 2023 and 2024 reports, Appendices 2 and 4, and city charts in the 2017, 2020, 2021, 2023 and 2024 reports; US Treasury, Treasury Reporting Rates of Exchange (Fiscal Data API); World Bank, World Development Indicators, lending interest rate (FR.INR.LEND).

COST, DEBT, CURRENCY AND DEVELOPMENT FINANCE (CHAPTER 4)

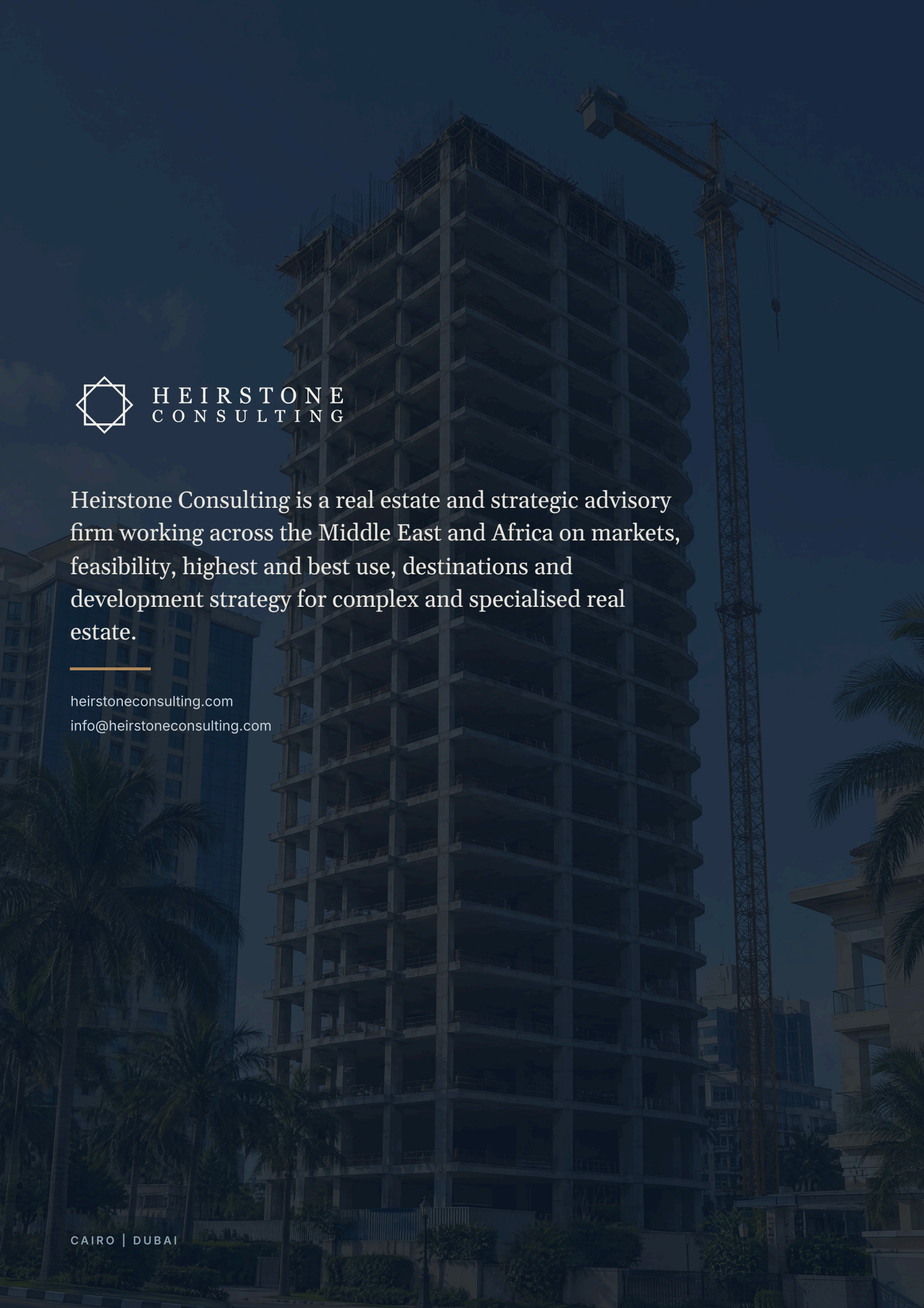
IFC project disclosures, Summaries of Investment or Proposed Investment Information (projects 24297, 25763, 26071, 26081, 28300, 30029, 31761, 32408, 33201, 33360, 38970, 42084, 43696, 44585, 47254, 48242, 48740, 48975, 49019, 50635, 51130, 51174, 52177, 52701); IATI activity data via d-portal (IFC, African Development Bank, British International Investment, Government of Sweden); Southern Sun, results presentation and integrated annual report for the year to 31 March 2026; Statistics South Africa, P6410 Tourist accommodation (December 2025, July 2026); Transcorp Hotels Plc, condensed financial statements H1 2026; Marriott International, Form 10-K 2025; South African Reserve Bank; Central Bank of Kenya Weekly Bulletin (25 September 2026); Debt Management Office Nigeria (September 2026); Ahram Online (4 February 2025); Enterprise (14 July 2025 and 29 December 2024); Trading Economics, Central Bank of Egypt key rate (September 2026); Luxury Travel Advisor (29 July 2026); Capital Ethiopia (2023, Skylight Hotel expansion).

PROJECTS AND CONVERSION (CHAPTER 5)

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REGIONS (CHAPTER 6)

Ghana Tourism Authority, Ghana Tourism Report 2025 (June 2026); Tourism Research Institute (Kenya), Tourism Sector Performance Report 2024; Hespress English citing Morocco's Tourism Observatory (2025); Ecofin Agency citing Egypt's Ministry of Tourism and Antiquities (6 January 2026), Egypt Independent citing the ministry (2026) and Arab News (7 December 2025) on arrivals and the 2028 target; Invest-Gate on Orascom Development's 2025 results (El Gouna); W Hospitality Group 2026 report page; Bank of Ghana (2026); ONOMO Hotels website (2026); and the sources above.



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Heirstone Consulting is a real estate and strategic advisory firm working across the Middle East and Africa on markets, feasibility, highest and best use, destinations and development strategy for complex and specialised real estate.

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